

PDD Holdings Inc.

PDD | October 4, 2026

BUY

Fair value (12-mo horizon reference)	\$108.00
Current price (October 2, 2026 close)	\$75.38
Implied upside / downside	+43%
Verdict	BUY

Investment Thesis

PDD Holdings is two businesses the market insists on valuing as one problem: Pinduoduo, the Chinese discount-retail machine that generates enormous cash flow, and Temu, the global cross-border marketplace navigating the end of the de minimis era. At \$75.38 the market prices both as impaired — Pinduoduo as a victim of domestic competition and regulation, Temu as a business model broken by tariffs. Our judgment is that the first is wrong and the second is misunderstood. Pinduoduo remains one of the most profitable e-commerce businesses in China, and Temu — while genuinely disrupted — is a free option the market values at less than zero.

Start with the domestic business, because it is the foundation of the valuation. Pinduoduo pioneered the team-purchase, value-first model in Chinese e-commerce and retains a massive, engaged user base in a market where discount retail keeps gaining share. Competition from Alibaba and JD.com is real and permanent — this is a three-player market now — but Pinduoduo's cost structure and agricultural-supply-chain roots give it a durable position at the value end. The domestic segment's profitability funds everything else, including the Temu investment cycle, and it does so with room to spare.

Temu is where the analytical work matters. The end of US de minimis treatment — first for China-origin goods, then globally — raised the cost structure of the cross-border direct-ship model that powered Temu's explosive growth, and US user metrics suffered. But Temu has responded the way a well-capitalized operator should: pivoting toward local fulfillment with US-based warehouses and merchants, cutting prices to defend share, and leaning into non-US markets where the regulatory picture is less hostile. Our base case does not require Temu to recover its peak trajectory — it requires the business to stabilize as a large, lower-margin international marketplace. Anything beyond that, including a normalization of US trade treatment over time, is upside.

Then there is the balance sheet, which the market treats as a footnote and we treat as central: PDD holds a very large net-cash position — tens of billions of dollars — against a business throwing off substantial annual free cash flow. We count that cash once, in enterprise value, and it still leaves the operating business priced at

a multiple inconsistent with its profitability. Our \$108.00 fair value charges a full 250bp China country-risk premium, models the VIE structure explicitly in the bear case, and still finds +43% upside. The bear case at \$30 — well below today's price — is the world where geopolitics or regulation impairs the equity itself; we believe that tail is over-weighted in the current quote.

Business Overview

PDD Holdings Inc., headquartered in Shanghai with its principal executive offices in Dublin, operates two major platforms. Pinduoduo is one of China's largest e-commerce platforms, built on a value-retail model emphasizing agricultural products, team purchasing, and gamified shopping; it serves hundreds of millions of annual active buyers, concentrated in price-sensitive segments where it holds a leading position. Temu is the company's international marketplace, launched in 2022, which scaled with extraordinary speed across North America, Europe, Latin America, and the Middle East on a cross-border direct-ship model connecting Chinese merchants to overseas consumers.

The company's economics are unusual in global e-commerce: it is highly profitable, with operating margins that reflect Pinduoduo's asset-light marketplace model and Temu's early efficiency, and it converts a large share of profit into cash. The balance sheet carries a very large net-cash position, giving management the capacity to fund Temu's logistics pivot, invest through cycles, and return capital. The ADR is listed on Nasdaq; the operating entities sit within the variable-interest-entity (VIE) structure standard for Chinese companies listed abroad.

The regulatory and trade backdrop is the defining context. Washington ended de minimis duty-free treatment for low-value parcels — the mechanism that enabled Temu's ultra-low pricing — and the European Union has moved to impose customs duties on small parcels as well. Temu has responded by shifting toward local fulfillment models, onboarding domestic merchants and warehouse capacity in destination markets, a transition that raises costs but builds a more defensible and compliant operating model.

Forward Outlook

Our judgment on Pinduoduo is that the domestic business has entered a mature, cash-cow phase — and that this is good, not bad. The hypergrowth years are over; what remains is a dominant value-retail platform with best-in-class margins, deep agricultural supply chains, and a user base whose shopping habits are entrenched. We expect low-single-digit to mid-single-digit revenue growth domestically with stable-to-expanding margins as the company laps its heavy investment periods. In a market that now prices Chinese e-commerce as a no-growth utility, even modest growth with this margin structure creates substantial value, particularly with the cash balance funding buybacks.

For Temu, our forward view is deliberately two-tracked. The pessimistic track — which we assign meaningful weight — is that the US business never recovers its former economics: tariffs and the loss of de minimis permanently raise the cost floor, local fulfillment compresses margins, and Temu settles as a mid-tier international marketplace. Even in that track, the non-US business — Europe, Latin America, the Middle East, where Temu continues to scale — has real value. The optimistic track is that the local-fulfillment pivot succeeds, Temu's merchant ecosystem deepens in destination markets, and US trade treatment normalizes over a multi-year horizon; in that world Temu re-accelerates and the current price looks like a generational entry point. Our base case sits between: stabilization, not triumph.

The honest risk to this entire outlook is geopolitical. An escalation in US-China tensions that targets Chinese ADRs, a forced VIE restructuring, or a Taiwan-contingency scenario would impair the equity regardless of how well Pinduoduo and Temu execute — and no operating outperformance hedges that. We model it explicitly: the bear case at \$30 assumes the equity itself is impaired, and the 250bp country-risk premium is charged on every scenario. Investors who cannot underwrite that tail should not own the name. For those who can, the asymmetry is striking: a cash-gushing domestic franchise, a free option on global commerce, and a fortress balance sheet, priced as though all three are liabilities.

Valuation

Our valuation is a probability-weighted scenario DCF, weighted 25% bear / 50% base / 25% bull, with an explicit 250bp China country-risk premium added to the discount rate. The very large net-cash position is counted once, in enterprise value — we are careful not to double-count it in both the cash flows and the balance sheet — and Temu is treated as a free option: valued conservatively in the base case, at zero in the bear case. Scenario-implied fair values are:

Scenario	Weight	Implied fair value	Key drivers
Bear	25%	\$30	VIE/geopolitical impairment of the equity; Temu US business written to zero; domestic margins compress under competition; cash trapped.
Base	50%	\$95	Pinduoduo grows modestly with stable margins; Temu stabilizes on local fulfillment ex-US; net cash counted once; buybacks continue.
Bull	25%	\$195	Temu pivot succeeds and re-accelerates; US trade treatment normalizes; domestic margins expand; market re-rates the cash compounder.

The probability-weighted fair value supports our \$108.00 target. The bear case at \$30 sits far below the current \$75.38 price, as our framework requires — it is the genuine disaster scenario in which the VIE structure or geopolitics impairs ADR holders directly. The base case values a highly profitable domestic franchise plus a stabilized international option, with the country-risk premium fully charged and Temu contributing modestly. The bull case reflects what the business earns if the market ever pays a normal multiple for this level of cash generation.

Terminal growth is capped at 2.5% on normalized mid-cycle margins — we do not project peak e-commerce margins into perpetuity — and we benchmark against regional e-commerce peers facing similar risks, never US peers alone. The terminal value is a minority of enterprise value, consistent with a business whose near-term cash generation and existing cash balance dominate the valuation.

Key Risks

- Geopolitical / VIE risk: US-China tensions could lead to ADR delisting, forced VIE restructuring, or ownership-impairment scenarios — the unhedgeable tail.
- Trade policy: US tariffs and the end of de minimis, plus EU small-parcel duties, structurally raise Temu's cost base.
- Domestic competition: Alibaba and JD.com compete aggressively in Chinese discount retail, pressuring growth and margins.
- Temu transition risk: the pivot to local fulfillment is capital-intensive and may fail to reproduce the unit economics of the direct-ship model.
- Regulatory risk in China: e-commerce, data, and platform-economy regulation remains an overhang for the domestic business.
- Capital allocation: the large cash balance could be deployed into low-return investments rather than returned to shareholders.

What Would Change Our Mind

- Any credible move against the VIE structure or toward forced ADR delisting — we would exit on evidence this tail is materializing, not after.
- Pinduoduo annual active buyers declining for two consecutive years, indicating structural share loss domestically.
- Temu's non-US growth stalling alongside continued US deterioration — the stabilization thesis failing on both tracks.
- Operating margins compressing structurally (not cyclically) for four consecutive quarters.
- The net-cash position being deployed into a large, low-return acquisition or diverted in ways that suggest governance concerns.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon — 10 years for most businesses, 15 years for businesses meeting our compounder-quality criteria (10+ years of ROIC above 15%, stable or expanding gross margins, free-cash-flow conversion above 80%, all verified from history, never projected) — weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations; 8-8.5% for compounder-quality businesses whose predictable cash flows genuinely lower risk); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth (3.0% for compounder-quality businesses) applied to normalized mid-cycle margins — never peak margins — and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For this international business we add an explicit 250bp country-risk premium to the discount rate and benchmark multiples against regional peers facing similar risks, never US peers alone; structural risks (the VIE structure, regulatory intervention, confiscation scenarios) are modeled in cash flows and the bear case. The very large net-cash position is counted once, in enterprise value; Temu is treated as a free option — valued conservatively in the base case and at zero in the bear case — rather than as a guaranteed growth engine.

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